

STATE OF NEW YORK  
PUBLIC SERVICE COMMISSION

At a session of the Public Service  
Commission held in the City of  
Albany on May 16, 2024

COMMISSIONERS PRESENT:

Rory M. Christian, Chair  
James S. Alesi  
David J. Valesky  
John B. Maggiore  
Uchenna S. Bright  
Denise M. Sheehan

CASE 24-E-0162 - Joint Petition of South Fork Wind LLC and GIP IV Whale Fund Holdings, L.P. for an Expedited Declaratory Ruling Regarding the Transfer of Upstream Ownership Interests in South Fork Wind, LLC or Approval Pursuant to Section 70 of the Public Service Law and Confirming Lightened Regulation.

CASE 24-E-0168 - Petition of Global Infrastructure Management, LLC and BlackRock, Inc. for a Declaratory Ruling Concerning the Transfer of Upstream Ownership Interests in South Fork Wind, LLC or Approval Pursuant to Section 70 of the Public Service Law and Confirming Lightened Regulation.

DECLARATORY RULING ON TRANSACTIONS

(Issued and Effective May 17, 2024)

BY THE COMMISSION:

INTRODUCTION

In a joint petition filed on March 13, 2024 (the First Petition), South Fork Wind, LLC (South Fork Wind) and GIP IV Whale Fund Holdings, L.P. (GIP Whale) seek a declaratory ruling that the proposed acquisition, by GIP Whale and/or one or more of its affiliates designated by GIP Whale, of Eversource Investment LLC's (Eversource Investment) upstream ownership

interests in South Fork Wind, North East Offshore, LLC (North East Offshore), and Revolution Wind, LLC (Revolution Wind) (collectively, the GIP Transaction) will not be reviewed by the Public Service Commission (Commission) under Section 70 of the Public Service Law (PSL). In the alternative, South Fork Wind and GIP Whale request that the Commission approve the GIP Transaction under PSL §70.

Separately, in a joint petition filed on March 19, 2024 (the Second Petition), Global Infrastructure Management, LLC (GIM) and BlackRock, Inc. (BlackRock) seek a declaratory ruling that a subsequent transfer of various interests of GIM and certain of its affiliates, including GIP Whale, to BlackRock following GIM's internal reorganization (the BlackRock Transaction) does not require further review under PSL §70. In the alternative, GIM and BlackRock request that the Commission approve the BlackRock Transaction under PSL §70.

Pursuant to the Commission's Rules of Procedure, 16 NYCRR §8.2(c), responses to the First Petition and the Second Petition were due within a 21-day period, which expired on April 3, 2024, and April 9, 2024, respectively. No comments were received on either petition. As discussed below, the Commission finds that Petitioners have satisfied the presumption established in the Wallkill Order and its progeny (Wallkill Presumption) by demonstrating that the upstream transfers of ownership interests in South Fork Wind would not present an ability to exercise horizontal or vertical market power or otherwise harm captive ratepayer interests.<sup>1</sup> Accordingly, no

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<sup>1</sup> Case 91-E-0350, Wallkill Generating Company, L.P., Order Establishing Regulatory Regime (issued April 11, 1994) (Wallkill Order); Case 98-E-1670, Carr Street Generation Station, L.P., Order Providing for Lightened Regulation (issued April 23, 1999) (Carr Street Order).

further review of either the GIP Transaction or the BlackRock Transaction is required pursuant to PSL §70.

#### BACKGROUND

South Fork Wind is developing the South Fork Wind Project, an approximately 131 megawatt (MW) offshore wind generating facility located approximately 19 miles southeast of Block Island, and 35 miles east of Long Island's Montauk Point, New York. South Fork Wind is also the direct owner and operator of the New York portion of the South Fork Export Cable (SFEC-NYS), a 7.6-mile, 138 kilovolt (kV) alternating current (AC) electric cable that interconnects the South Fork Wind Project to the East Hampton 69 kV substation owned by the Long Island Power Authority (LIPA) within the New York Independent System Operator, Inc. (NYISO) balancing authority area (BAA).

On March 18, 2021, the Commission granted South Fork Wind a Certificate of Environmental Compatibility and Public Need pursuant to PSL Article VII to construct and operate the SFEC-NYS.<sup>2</sup> Thereafter, on December 20, 2021, the Commission granted South Fork Wind a Certificate of Public Convenience and Necessity (CPCN) pursuant to PSL §68 for South Fork Wind to construct and operate the SFEC-NYS.<sup>3</sup> In the CPCN Order, the Commission also authorized a lightened regulatory regime with respect to South Fork Wind's ownership and operation of the SFEC-NYS.

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<sup>2</sup> Case 18-T-0604, South Fork Wind - Article VII Proceeding, Order Adopting Joint Proposal (issued March 18, 2021).

<sup>3</sup> Case 21-E-0261, South Fork Wind - CPCN Proceeding, Order Granting Certificate of Public Convenience and Necessity and Providing for Lightened Regulation (issued December 20, 2021) (CPCN Order).

THE FIRST PETITION

Involved Entities

The First Petition explains that South Fork Wind is a Delaware limited liability company that is a wholly-owned, direct subsidiary of South Fork Wind Holdings, LLC (South Fork Holdings). South Fork Class B Member, LLC (South Fork Class B) holds all of the Class B managing membership interests in South Fork Holdings. Eversource Investment and Orsted SF Class B Member, LLC (Orsted SF)<sup>4</sup> each hold a 50 percent interest in South Fork Class B.<sup>5</sup> South Fork Wind is currently developing the South Fork Wind Project on the U.S. Outer Continental Shelf within the area covered by U.S. Bureau of Ocean Energy Management Offshore Renewable Energy Lease No. OCS-A-0517. According to the First Petition, seven of the twelve turbines at the project are currently in operation, with the remaining turbines expected to come online in the first quarter of 2024, and with the full capacity of the South Fork Wind Project committed under a long-term power purchase agreement (PPA) with LIPA. The First Petition explains that South Fork Wind has been granted market-based rate authority by the Federal Energy Regulatory Commission

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<sup>4</sup> The First Petition explains that Orsted SF, as well as Orsted DevCo, LLC (Orsted DevCo), are wholly-owned subsidiaries of Orsted North America Inc., which in turn is a wholly-owned indirect subsidiary of Ørsted A/S, a publicly-listed Danish company. The GIP Transaction does not affect Orsted SF's interest in South Fork Wind.

<sup>5</sup> According to the First Petition, South Fork Holdings also has Class A non-managing membership interests, which are held by Eversource TEI LLC (Eversource TEI), a wholly-owned subsidiary of Eversource Energy (Eversource). These limited Class A interests are passive interests that do not convey management or operational control, and that convey only limited consent rights comparable to those held by passive tax equity investors. They also do not give the holders any rights to appoint non-independent directors to South Fork Holdings' board.

(FERC) and has filed a notice of self-certification for exempt wholesale generator status under the Public Utility Holding Company Act of 2005 (PUHCA).

The First Petition explains that Eversource Investment is a wholly-owned subsidiary of Eversource Holdco Corporation, which is in turn wholly-owned by Eversource, a public utility holding company under PUHCA that owns and operates over 4,000 miles of transmission facilities in Connecticut, Massachusetts, and New Hampshire, has electric distribution facilities and water delivery systems in each of those states, and serves approximately 4.4 million electric, natural gas, and water customers in New England. According to the First Petition, Eversource owns three public utility subsidiaries that participate in the regional transmission organization coordinated by the ISO New England Inc. (ISO-NE) and conduct business in the ISO-NE administered markets.

According to the First Petition, GIP Whale is a limited partnership formed for the purpose of participating in the GIP Transaction. GIP Whale is wholly controlled by its general partner, Global Infrastructure GP IV L.P. (GIP GP IV), which in turn is wholly controlled by its general partner, Global Infrastructure Investors IV, LLC (GIP IV).<sup>6</sup> All of the membership interests of GIP IV are owned by GIM Participation Fund Holding, L.P. (GIMP Fund), which is indirectly owned by individuals.<sup>7</sup> The only individuals holding voting interests of 10 percent or more in GIMP Fund are Jonathan Bram, Matthew

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<sup>6</sup> The First Petition indicates that GIP Whale and GIP GP IV also have passive, limited partnership interests that do not convey management or operational control, and that convey only limited consent rights comparable to those held by passive tax equity investors.

<sup>7</sup> GIMP Fund's ownership interests are discussed in more detail below regarding the Second Petition.

Harris, Michael McGhee, Adebayo Ogunlesi, and William Woodburn (collectively, the GIP Managers). According to the petition, these individuals are also the only individuals or entities with voting interests of 10 percent or more in Global Infrastructure Management Participation LLC (GIMP) and Global Infrastructure Management Participation 2, LLC (GIMP2), along with other interests discussed in more detail below. The First Petition asserts that, other than by virtue of their ownership interests in GIMP Fund, GIMP, and GIMP2, none of the GIP Managers is affiliated with any entity that (1) owns or controls electric generation, transmission or distribution facilities in the United States; (2) owns or controls "inputs to electric power production," as defined in FERC's regulations, 18 CFR §35.36(a)(4), or "inputs to electricity power production" as used in 18 CFR §33.4(a)(1); or (3) is a franchised public utility in the United States. The petition further states that the GIP Managers do not hold any officer or director positions in the energy industry as it pertains to any of the foregoing except for positions with GIMP Fund, GIMP, GIMP2 and their affiliates, and none of GIP Whale's affiliates owns or controls relevant generation facilities in the NYISO market.

GIP Transaction

According to the First Petition, pursuant to the GIP Transaction, GIP Whale and/or one or more of its affiliates designated by GIP Whale would acquire: (1) Eversource Investment's 50 percent Class B interest in South Fork Class B, and thereby also indirectly acquire an ownership interest in South Fork Wind; and (2) Eversource Investment's 50 percent interest in North East Offshore, and thereby also indirectly

acquire a 50 percent interest in Revolution Wind.<sup>8</sup> Conversely, the GIP Transaction would not affect Orsted's 50 percent direct interest in North East Offshore, 50 percent indirect interest in Revolution Wind, or 50 percent Class B interest in South Fork Class B, and would not affect Eversource TEI's passive Class A membership interests in South Fork Holdings. The First Petition explains that it is possible that, prior to the consummation of the GIP Transaction, additional intermediate holding companies may be interposed between GIP Whale and GIP IV, and additional passive investors may acquire interests in

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<sup>8</sup> The First Petition explains that North East Offshore is a Delaware limited liability formed for the purpose of developing, constructing, owning, and operating offshore wind generation facilities and is a 50/50 joint venture between Orsted DevCo and Eversource Investment. According to the First Petition, North East Offshore does not directly own any generation assets and will transact at market-based rates in the NYISO and ISO-NE markets as a power marketer. North East Offshore currently has three wholly-owned subsidiaries: Revolution Wind, Deepwater Wind, LLC, and Sunrise Wind LLC (Sunrise Wind). Revolution Wind, a wholly-owned, direct subsidiary of North East Offshore, is developing the 704 MW Revolution Wind Project, an offshore wind generating facility located approximately 15 miles south of the Rhode Island coast and 32 miles southeast of the Connecticut coast. The First Petition asserts that Revolution Wind and Deepwater Wind, LLC are not "electric corporations" under the PSL and are not subject to regulation by the Commission. The First Petition further explains that Sunrise Wind will be spun-out of North East Offshore prior to closing of the GIP Transaction.

GIP Whale, GIP GP IV, or such intermediate holding companies.<sup>9</sup> Should any such passive investment arrangement require notice or reporting to the Commission, the applicable filing will be made. Moreover, if and to the extent the structure changes prior to consummation of the GIP Transaction such that an entity not indirectly and wholly controlled by the GIP Managers will have a "control" interest in Buyer, Applicants will promptly amend the Application or submit a new application, as appropriate, to identify and request authorization for such changes.

South Fork Wind and GIP Whale assert that the Commission should apply the Wallkill Presumption to the First Petition, and issue a declaratory ruling stating that no further review of the GIP Transaction is needed under PSL §70. According to the First Petition, the GIP Transaction would not create any potential for harm to the interests of captive utility ratepayers because South Fork Wind operates in a competitive market and has no captive ratepayers. The First Petition further asserts that the GIP Transaction would not result in the potential to exercise either horizontal or vertical market power. Regarding horizontal market power, the First Petition explains that the South Fork Wind Project would represent less than one percent of generation in the NYISO territory. The output of the South Fork Wind Project is fully committed under a long-term PPA with LIPA, and LIPA would also

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<sup>9</sup> The First Petition asserts that, if any such passive investment arrangement requires notice or reporting to the Commission, the applicable filing will be made. Moreover, if and to the extent the structure changes prior to consummation of the GIP Transaction such that an entity not indirectly and wholly controlled by the GIP Managers will have a "control" interest in GIP Whale, the applicants will promptly amend the First Petition or submit a new application, as appropriate, to identify and request authorization for such changes.



have the capacity rights. The First Petition also notes that GIP Whale's affiliates own approximately 27.7 MW of qualifying facility (QF) capacity in the NYISO market, of which 0.7 MW is in Zone K and fully committed. Thus, GIP Whale and its affiliates would not own or control any uncommitted capacity in Zone K as a result of the GIP Transaction. According to the First Petition, GIP Whale's (and South Fork Wind's) pre- and post-GIP Transaction market share would remain at essentially zero (0.1 percent) in the NYISO market after consideration of long-term commitments with respect to South Fork Wind. Even ignoring South Fork Wind's long-term commitments, the First Petition asserts that GIP Whale's post-GIP Transaction market share is less than one percent, and the overall Herfindahl-Hirschman Index (HHI) change is negative. The First Petition further notes that, following the GIP Transaction, GIP Whale and its affiliates would control only 4.2 percent of market share in ISO-NE, and transmission constraints limit the amount of affiliated capacity that potentially could be imported to the NYISO market.

As to vertical market power, the First Petition asserts that GIP Whale and its affiliates do not own or control electric transmission facilities (other than limited facilities used to interconnect generation facilities with the transmission grid) in the NYISO territory. The First Petition notes that GIP Whale is affiliated with Columbia Gas Transmission, LLC (Columbia Gas), which owns and operates an 11,899-mile interstate natural gas pipeline system serving parts of New York. However, Columbia Gas' facilities cannot be used to erect barriers to entry, because such facilities are operated on an open access basis pursuant to the requirements set forth in Part 284 of the FERC's regulations and this market is served by multiple other interstate natural gas pipelines and storage

providers not affiliated with GIP Whale. GIP Whale and its affiliates assert that they do not have ownership interests in or control of fuel supplies, fuel delivery systems, or other inputs to electricity markets within the NYISO that could be used to raise barriers to entry in any of the relevant markets, and no such interests are being acquired in the GIP Transaction.<sup>10</sup> The petitioners further claim that, in any event, entry of new generation in the NYISO market, and GIP's ownership by numerous independent entities shows that entry in those markets is not constrained. The GIP Transaction would also not result in changes in the day-to-day operations of South Fork Wind, or changes in the role of the entities responsible for the operation and maintenance of South Fork Wind.

In the alternative, if the Commission finds that review under PSL §70 is required, South Fork Wind and GIP Whale assert that the Commission should approve the GIP Transaction under PSL §70 as in the public interest for the same reasons described above. South Fork Wind and GIP Whale also request that the Commission confirm that lightened regulation and existing financing approvals under PSL §69 will remain in effect for South Fork Wind following the GIP Transaction.<sup>11</sup>

#### THE SECOND PETITION

##### Involved Entities

The Second Petition states that GIM is a Delaware limited liability company currently owned by GIMP and GIMP2. As

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<sup>10</sup> The First Petition notes that GIP Whale has current affiliates, through GIP Managers, that do own or control fuel supplies or fuel delivery systems outside the NYISO, in the southern United States. See First Petition, n. 31.

<sup>11</sup> In the Commission's understanding, no financing approvals have been requested for or granted to South Fork Wind to date.

noted above, the GIP Managers each hold 10 percent or more voting power of GIMP and GIMP2, as well as GIMP Fund. GIM is a global independent infrastructure fund manager headquartered in New York City that manages investment funds which invest in infrastructure businesses and assets globally, including providing investment management services and advice to various Global Infrastructure Partners-sponsored investment funds (GIP Funds), the general partners of which are indirectly controlled by GIMP Fund. According to the Second Petition, GIMP Fund, through the GIP Funds, has indirect controlling interests in various public utility subsidiaries identified in Exhibit A to the Second Petition (the GIM public utility subsidiaries), including 606 MW of generating capacity in the PJM Interconnection, Inc. (PJM) BAA and 465 MW of generating capacity in the ISO-NE BAA. The Second Petition further explains that GIM affiliates own or control QFs and/or behind-the-meter generation facilities in the ISO-NE BAA (approximately 145.5 MW) and in the NYISO BAA (approximately 27.7 MW).

According to the Second Petition, BlackRock is a publicly traded American investment management firm that provides investment management services to its mutual funds, investment accounts, and other investment funds domiciled in the United States and foreign countries. Such services include the purchase, sale, and voting regarding voting securities on behalf of investment funds and investment accounts, including the voting securities of public utilities and utility holding companies. The Second Petition states that BlackRock is an independent company, and no shareholder or affiliated group of shareholders owns or controls 10 percent or more of BlackRock's common stock. The Second Petition asserts that neither BlackRock nor any of its investment management subsidiaries or managed investment funds: (1) directly owns or operates any

physical electric utility assets in the United States; (2) is in an energy business; or (3) is an "electric corporation" under the PSL.

The Second Petition explains that FERC has granted BlackRock and certain of its investment management subsidiaries blanket authorization under Section 203 of the Federal Power Act (FPA) to acquire, on behalf of BlackRock's managed investment funds and accounts, up to 20 percent of the voting securities of individual publicly-traded public utilities, electric utility companies, and certain holding companies (the Blanket Authorization), subject to BlackRock and its investment management subsidiaries remaining passive investors in the securities it acquires under the Blanket Authorization. Notably, the Blanket Authorization is subject to a number of conditions, including that BlackRock and its investment management subsidiaries maintain status as passive investors and file Schedule 13G under the Securities Exchange Act of 1934 with respect to all reportable investments in utilities and utility holding companies. According to the Second Petition, the Commission previously issued an order granting authority, similar to the Blanket Authorization, for the investment management company Vanguard Group, Inc. (Vanguard) to acquire up to 20 percent, in the aggregate, of the outstanding voting securities of any single Commission-jurisdictional public utility, with a limit of 10 percent of any individual subsidiary or fund.<sup>12</sup> The Second Petition avers that since issuance of the Vanguard Order, BlackRock has not held, directly or indirectly, an active ownership interest in electric generation facilities

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<sup>12</sup> See Case 20-M-0602, Vanguard Group, Inc., Order Denying Requests for Declaratory Rulings, In Part and Granting Approval to Acquire Stock Subject to Conditions (issued November 22, 2021) (Vanguard Order).

subject to the Commission's jurisdiction. The Second Petition also includes, as Exhibit B thereto, a copy of BlackRock's most recently filed quarterly report to FERC listing each of the entities held by its investment management subsidiaries pursuant to the Blanket Authorization in an amount greater than 1 percent. According to the Second Petition, Consolidated Edison, Inc. (Con Edison), the owner of Consolidated Edison Company of New York, Inc. (CECONY) and Orange and Rockland Utilities, Inc. (O&R), is the only Commission-jurisdictional utility in which funds managed by BlackRock subsidiaries own greater than 10 percent of its outstanding voting securities in the aggregate pursuant to the Blank Authorization (BlackRock has an aggregated 10.33 percent ownership interest in Con Edison). Outside of Con Edison, BlackRock claims that it does not exert control over the public utilities in which BlackRock owns stock acquired pursuant to FERC's Blanket Authorization. The Second Petition further avers that BlackRock intends to separately file a petition seeking a formal Commission order granting the same blanket authority as granted to Vanguard, to allow BlackRock to acquire in the aggregate up to 20 percent of the stock in Commission jurisdictional entities, subject to certain conditions and reporting requirements.<sup>13</sup>

The Second Petition identifies that Con Edison owns 988 MW of generation in New York. The Second Petition further notes that BlackRock Financial Management, Inc., a BlackRock subsidiary, has a passive, indirect equity ownership interest in Cricket Valley Energy Center, LLC (Cricket Valley), which owns a

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<sup>13</sup> BlackRock has since filed such a petition with the Commission. See Case 24-M-0264, Petition of BlackRock, Inc. for Approval of Acquisition of Stock and Declaratory Ruling Pursuant to Sections 70, 83, 89-h, 100, and 222 of the Public Service Law, Petition (filed May 3, 2024) (BlackRock Blanket Authorization Petition).

1,000 MW electric generating facility in New York. Except as otherwise described, neither BlackRock nor any of its investment management subsidiaries, nor any of its managed investment funds, own, directly or indirectly, 10 percent or more or of the voting securities of any company that has direct or indirect ownership or control interests in electric generation or transmission assets located in New York. Investment funds controlled and managed by investment management subsidiaries of BlackRock do indirectly own voting securities sufficient to be presumed to convey control with respect to a number of companies that are "public utilities" under the FPA, none of which operate facilities located in the NYISO BAA. Two such facilities are located in the PJM BAA, including: (1) Lackawanna Energy Center LLC, which owns a 1,499 MW natural gas-fired facility in Pennsylvania that sells its output into the PJM markets; and (2) Guernsey Power Station LLC, which owns an approximately 1,875 MW natural gas-fired facility located in Ohio, that sells its output into the PJM markets.

The Second Petition further explains that investment funds controlled and managed by investment management subsidiaries of BlackRock also indirectly own: (1) 10 percent or more in certain entities that are developing new generation facilities that have not yet achieved commercial operation, but none of the facilities anticipated to become operable by 2025 are located in the New York or PJM Control Areas; (2) passive interests of 10 percent or more in several generation facilities, none of which, with the exception of Cricket Valley, are located in the New York or PJM Control Areas; (3) ownership of certain PURPA qualifying facilities and behind-the-meter generating facilities, including in the ISO-NE BAA (approximately 10.4 MW), the PJM BAA (approximately 38.7 MW) and in the NYISO BAA (approximately 72.8 MW); and (4) natural gas

distribution and interstate natural gas transportation and gathering facilities. BlackRock also recently announced that, along with Morgan Stanley Infrastructure Partners LP, it will be acquiring Portland Natural Gas Transmission System, LP, an interstate natural gas transmission system which delivers natural gas from Canada into New England.

BlackRock Transaction

According to the Second Petition, the BlackRock Transaction would initially involve an internal corporate reorganization pursuant to which GIMP Fund would contribute the interests of the general partnerships that control each GIP Fund to GIM. Thereafter, BlackRock Funding, Inc. would acquire 100 percent of the limited liability company interests of GIM from the GIP Managers, for a total consideration of \$3 billion in cash and approximately 12 million shares of common stock of BlackRock Funding, Inc.<sup>14</sup> Notably, the Second Petition assumes that the GIP Transaction would be consummated subject to receiving all required regulatory approvals. Thus, following completion of the GIP Transaction and the BlackRock Transaction, BlackRock would have an indirect controlling interest in the GIM public utility subsidiaries, including South Fork Wind. The Second Petition asserts, however, that the strategic and day-to-day activities of GIM would continue to be managed as they are prior to the transaction, and the current management team of GIM would continue to manage the key strategic direction,

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<sup>14</sup> The Second Petition explains that, prior to consummating the BlackRock Transaction, BlackRock would undertake an internal reorganization pursuant to which BlackRock would effect a merger in accordance with Section 251(g) of the Delaware General Corporation Law, whereby BlackRock Funding, Inc. would become the ultimate parent of BlackRock and its subsidiaries and be renamed BlackRock, Inc., and BlackRock, Inc. would be renamed BlackRock Finance, Inc.

operations, and activities of the GIM business (including decisions with respect to the GIP Funds), subject to the generally applicable policies of BlackRock Funding, Inc. In other words, the BlackRock Transaction would not affect the daily operation of GIM, the GIP Funds, or South Fork Wind.

GIM and BlackRock assert that the Commission should apply the Wallkill Presumption to the BlackRock Transaction and declare that the transfer does not require further review under PSL §70. The petitioners argue that the BlackRock Transaction involves a change in ownership of the upstream owners of South Fork Wind, and not a change in ownership of South Fork Wind itself or a change to South Fork Wind's day-to-day operations or maintenance. GIM and BlackRock also argue that the BlackRock Transaction would not create any potential for harm to the interests of captive ratepayers because South Fork Wind operates in a competitive market and has no captive ratepayers.

GIM and BlackRock further argue that the BlackRock Transaction would not result in the potential to exercise either horizontal or vertical market power. The Second Petition asserts that BlackRock and its investment management companies hold up to 20 percent in the aggregate of stock in Commission-jurisdictional entities pursuant to FERC's Blanket Authorization. Given all the restrictions and contingencies constraining its control over all the capacity that comprises its ownership shares, BlackRock would not be able to successfully manipulate wholesale markets by combining these small ownership interests. Further, even if the Commission deemed BlackRock to have a controlling interest over Con Edison, which BlackRock claims it does not have, BlackRock's aggregated 10.33 percent share would not allow it to exercise market power because its combined market share of the New York market would



be well below the shares that the Commission has determined would not raise market power concerns.

Specifically regarding horizontal market power, the Second Petition further notes that investment funds controlled and managed by BlackRock's subsidiaries indirectly own approximately 3,309 MW of generating capacity in PJM, which only represents a 1.9 percent market share. The Second Petition asserts that combining control over the PJM facilities with GIM and BlackRock's combined capacity of approximately 100.5 MW of QF and behind-the meter generation in the New York Control Area and the 131 MW capacity of South Fork Wind falls short of the threshold required to create or enhance horizontal market power in New York. The Second Petition further notes that the South Fork Wind project is fully committed to LIPA under a 20-year fixed-price contract with the option to extend for an additional five years, with an annual escalator not tied to market price, and the BlackRock Transaction would have no impact on that contract.

Regarding vertical market power, the Second Petition asserts that the BlackRock Transaction does not involve any transmission facilities except for the limited interconnection equipment necessary to connect generation facilities to the transmission system. GIM and BlackRock further argue that, even if the Commission presumed that BlackRock's aggregate ownership of 10.33 percent of Con Edison's stock gave BlackRock control over CECONY and O&R (which the petitioners argue does not), there would be no incentive to exercise vertical market power because South Fork Wind's contract is fixed price for up to 25 years and does not permit South Fork Wind, or its owners, to benefit from higher market prices. The petitioners further state that they do not control any facilities for the

transmission of natural gas or other essential inputs for electric power production in New York State.

In the alternative, if the Commission finds that review of the BlackRock Transaction is required under PSL §70, GIM and BlackRock request that the Commission approve the transaction as in the public interest. Similar to the First Petition, GIM and BlackRock also request that the Commission declare that South Fork Wind continue to be subject to lightened regulation, and that its existing financing approvals under PSL §69 remain in effect. Finally, GIM and BlackRock seek expedited Commission action on the BlackRock Transaction by May 16, 2024, contemporaneously with approval of the First Petition.

#### LEGAL AUTHORITY

Pursuant to PSL §70, the Commission must review and approve proposed transfers of ownership interests in jurisdictional facilities and properties. These review processes have been adapted over time to accommodate lightened ratemaking regulation policies. Entities subject to lightened regulation operate in competitive markets and, therefore, must support PSL §70 transfer requests with a demonstration under the Wallkill Presumption that the transaction would not present an opportunity to exercise either horizontal or vertical market power, or otherwise harm the interests of captive ratepayers of fully-regulated utilities.<sup>15</sup>

The Commission is authorized to issue a declaratory ruling with respect to: (i) the applicability of any rule or statute enforceable by it to any person, property, or state of facts; and (ii) whether any action by it should be taken pursuant to a rule. The Commission may also decline to issue

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<sup>15</sup> See Wallkill Order, p. 9; see also Carr Street Order, p. 8.

such a declaratory ruling. This authority is expressly established by State Administrative Procedure Act §204 and governed by the Commission's Rules of Procedure, contained in 16 NYCRR Part 8, implementing that statute.

Declaratory rulings involving interpretations of existing statutes, rules, or regulation are not "actions" within the meaning of the State Environmental Quality Review Act (SEQRA) and its implementing regulations and, therefore, they may be issued without further SEQRA review.<sup>16</sup>

#### DISCUSSION AND CONCLUSION

Under the Wallkill Presumption, regulation under PSL §70 is presumed to not adhere to the transfer of ownership interests in entities upstream from a New York competitive electric generation subsidiary, unless there is a potential for harm to the interests of captive utility ratepayers, or the potential for the exercise of market power arising out of an upstream transfer, sufficient to override the presumption. For purposes of both the GIP Transaction and the BlackRock Transaction, the petitioners in these cases have satisfied the Wallkill Presumption by demonstrating that the upstream transfer in ownership interests in South Fork Wind will not present an ability to exercise horizontal or vertical market power, or any potential for harm to captive utility ratepayers, subject to the discussion below.

#### GIP Transaction

Pursuant to the GIP Transaction, GIP Whale and/or one or more of its affiliates designated by GIP Whale would acquire, in relevant part, Eversource Investment's 50 percent Class B

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<sup>16</sup> Six NYCRR §617.5(c) (37) (defining "interpretation[s] of an existing code, rule or regulation," as Type II actions not subject to review under SEQRA).

interest in South Fork Class B, and thereby also indirectly acquire an ownership interest in South Fork Wind.<sup>17</sup> Thus, following the GIP Transaction (and prior to the BlackRock Transaction), GIP Whale would have a 50 percent indirect Class B ownership interest in South Fork Wind, the other 50 percent stake in South Fork Wind would continue to be owned by Orsted, and Eversource TEI would continue to hold passive Class A membership interests in South Fork Holdings.<sup>18</sup>

Consummation of the GIP Transaction would not create a potential for harm to the interests of captive utility ratepayers, or a potential for the exercise of market power arising out of an upstream transfer. South Fork Wind operates in a competitive market and has no captive ratepayers, and consummation of the GIP Transaction would not result in changes in the day-to-day operations of South Fork Wind, or changes in the role of the entities responsible for the operation and maintenance of South Fork Wind. Regarding horizontal market power, the 131 MW South Fork Wind Project represents less than one percent of generation in the NYISO territory. Following the GIP Transaction, GIP Whale and its affiliates would only

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<sup>17</sup> Pursuant to the GIP Transaction, GIP Whale and/or its affiliates would also acquire a 50 percent interest in North East Offshore, and thereby indirectly acquire a 50 percent interest in Revolution Wind. North East Offshore and Revolution Wind are not subject to regulation by the Commission.

<sup>18</sup> The First Petition indicated a possibility that, prior to the consummation of the GIP Transaction, additional intermediate holding companies may be interposed between GIP Whale and GIP IV, and additional passive investors may acquire interests in GIP Whale, GIP GP IV, or such intermediate holding companies, and that to the extent such transactions require notice or reporting to the Commission, applicable filings would be made. To-date, Eversource and GIP Whale have not indicated that such passive investment arrangements have occurred or will occur in the near future.

indirectly own or control this amount of generation, along with approximately 27.7 of QF capacity in the NYISO, which is below amounts of capacity that the Commission has previously determined to not raise horizontal market power concerns.<sup>19</sup> The output of the South Fork Wind Project is also fully committed under a long-term PPA with LIPA that includes an annual escalator not tied to market price. GIP Whale and Eversource have also demonstrated that the overall HHI change would be negative absent South Fork Wind's long-term PPA commitments.

The GIP Transaction similarly does not present an opportunity for GIP Whale and its affiliates to leverage generation owned in the adjacent ISO-NE and PJM markets to manipulate prices in New York. As demonstrated in the First Petition, after the GIP Transaction, GIP Whale and its affiliates would only control 606 MW of generating capacity in the PJM markets, and 465 MW of generating capacity in the ISO-NE market, along with modest QF and/or behind-the-meter capacity in those markets. Transmission constraints further limit the amount of affiliated capacity that could potentially be imported from those markets into the NYISO market, which serve to further mitigate the potential exercise of horizontal market power.<sup>20</sup>

The GIP Transaction also does not present a vertical market power risk. GIP Whale and its affiliates do not own or

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<sup>19</sup> See, e.g., Case 17-M-0735, Sithe/Independence Power Partners, L.P. et. al, Declaratory Ruling on Transfer and Making Other Findings (issued February 27, 2018) (finding that 4.8 percent of New York's installed capacity is "below levels previously found insufficient to create market power").

<sup>20</sup> See Case 15-E-0462, MACH Gen, LLC, Declaratory Ruling on Review of a Merger Transaction (issued October 20, 2015) (finding that notwithstanding control of over 15,000 MW of total installed capacity in PJM, and over 550 MW of installed capacity in ISO-NE, transmission constraints limit the amount of energy that can be transferred to the NYISO).

control electric transmission facilities (other than limited facilities used to interconnect generation facilities with the transmission grid) in the NYISO market.<sup>21</sup> While GIP Whale is affiliated with Columbia Gas, Columbia Gas's facilities are operated on an open access basis pursuant to FERC's regulations. GIP Whale and its affiliates also do not have ownership interests in or control of fuel supplies, fuel delivery systems, or other inputs to electricity markets within the NYISO that could be used to raise barriers to entry in any of the relevant markets, and no such interests would be acquired in the GIP Transaction.

Based on these facts, GIP Whale and Eversource have adequately demonstrated that the GIP Transaction does not present an opportunity to exercise either horizontal or vertical market power, or a potential to harm the interests of captive New York ratepayers. Accordingly, the Proposed Transaction does not require further regulatory review under PSL §70.<sup>22</sup>

After the GIP Transaction is consummated, lightened regulation of South Fork Wind will continue, as described in the CPCN Order. Parties to these proceedings are reminded that, under lightened regulation, South Fork Wind will remain subject

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<sup>21</sup> For purposes of this review, based on First Petition's description of the SFEC-NYS (i.e., an AC electric cable that will interconnect the South Fork Wind Project to LIPA's East Hampton 69 kV substation), the Commission shall treat SFEC-NYS as one such limited interconnection facility.

<sup>22</sup> See Wallkill Order; see also Case 18-E-0333, Cassadaga Wind LLC, Declaratory Ruling on Transfer Transactions (issued July 17, 2018) and Case 17-E-0620, AP Cricket Valley Holdings I Inc., et al., Declaratory Ruling on Transfer Transaction (issued December 14, 2017).

to the PSL with respect to matters such as annual reporting,<sup>23</sup> enforcement, investigation, safety, reliability, and system improvement, and the other requirements of PSL Articles 1 and 4, to the extent discussed in the CPCN Order. Included among those requirements are the obligations to conduct tests for stray voltage on all publicly accessible electric facilities,<sup>24</sup> and to report personal injury accidents pursuant to 16 NYCRR Part 125. PSL §§110(1) and (2), which provide for Commission jurisdiction over affiliated interests, will apply based on affiliations with power marketers.

BlackRock Transaction

Preliminarily, the Commission has previously determined that reshuffling the layers of a corporate structure where all entities remain wholly-owned by an existing owner in that structure does not amount to a transfer under PSL §70, because there is no change in the identity of the ultimate ownership.<sup>25</sup> The BlackRock Transaction involves two internal reorganizations. First, GIMP Fund would contribute the interests of the general partnerships that control each GIP Fund to GIM. Second, BlackRock would effect a merger in accordance with Section 251(g) of the Delaware General Corporation Law, whereby BlackRock Funding, Inc. would become the ultimate parent of BlackRock and its subsidiaries and be renamed BlackRock,

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<sup>23</sup> Pursuant to the Order Adopting Annual Reporting Requirements Under Lightened Ratemaking Regulation issued January 23, 2013, in Case 11-M-0294, the owners of lightly regulated entities are required to file Annual Reports.

<sup>24</sup> Case 04-M-0159, Safety of Electric Transmission and Distribution Systems, Order Instituting Safety Standards (issued January 5, 2005) and Order on Petitions for Rehearing and Waiver (issued July 21, 2005).

<sup>25</sup> See Case 06-E-1106, et al., PPM Energy Inc., et al., Declaratory Ruling on Regulation of Intra-Corporate and Other Transactions (issued October 19, 2006).

Inc., and BlackRock, Inc. would be renamed BlackRock Finance, Inc. In both internal reorganizations, there would be no change in the identity of the ultimate owner. Accordingly, these internal reorganizations fall outside of the scope of PSL §70, rendering it unnecessary to review or approve them.

Following these internal reorganizations, an external transaction would be effectuated whereby BlackRock Funding, Inc. (now renamed as BlackRock, Inc.) would acquire 100 percent of the limited liability company interests of GIM from the GIP Managers, for a total consideration of \$3 billion in cash and approximately 12 million shares of common stock of BlackRock Funding, Inc. Thus, BlackRock, Inc. would possess a 50 percent upstream ownership interest in South Fork Wind following the BlackRock Transaction, in addition to its acquisition of other generation and utility interests held by GIM and its affiliates and subsidiaries.

The BlackRock Transaction does not present either an ability to exercise horizontal or vertical market power, or any potential harm to captive ratepayers. As above, South Fork Wind operates in a competitive market and has no captive ratepayers, and consummation of the BlackRock Transaction would not result in changes in the day-to-day operations of South Fork Wind, or changes in the role of the entities responsible for the operation and maintenance of South Fork Wind. Regarding market power, based on assertions made in the Second Petition, while BlackRock and its investment management companies hold up to 20 percent in the aggregate of stock in Commission-jurisdictional entities pursuant to FERC's Blanket Authorization, there are multiple restrictions and contingencies constraining BlackRock's control over all the capacity that comprises its ownership shares, and BlackRock would not be able to successfully



manipulate wholesale markets by combining these small ownership interests.

Moreover, as to horizontal market power, even following consummation of the BlackRock Transaction, BlackRock and its subsidiaries would only control a combined capacity of generation that falls short of thresholds that the Commission has previously determined to not raise horizontal market power concerns. Specifically, the Second Petition indicates that following the BlackRock Transaction, BlackRock and its affiliates would own: (1) approximately 100.5 MW of QF and behind-the meter generation in the New York Control Area, (2) an indirect, minority (i.e., less than 10 percent) upstream interest in the 1,000 MW generation facility owned by Cricket Valley, (3) a 50 percent upstream interest in the 131 MW capacity of South Fork Wind, and (4) a proportionate share (i.e., 10.33 percent) of the 988 MW of generation owned by Con Edison in New York. These proportionate shares of generation capacity in New York would equate to only 0.7 percent of the approximately 40,257 MW of total generation in the New York Control Area.<sup>26</sup> BlackRock's ability to exercise horizontal market power is further mitigated by South Fork Wind project's fixed-price contract with LIPA, which includes an annual escalator not tied to market price.<sup>27</sup>

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<sup>26</sup> See Case 13-M-0004, EIF BNY LLC, et al., Declaratory Ruling on Review of an Acquisition and Stock Transaction (issued February 13, 2013) (EIF Ruling) (finding that 5.0 percent of New York's installed capacity, calculated based on proportionate ownership interests in generation capacity, is "below the level that would cause concern ...").

<sup>27</sup> The Commission has previously found that, where capacity is committed under a long-term contract, an entity is prevented from "deploying that capacity for the purpose of exercise market power." See EIF Ruling, p. 7.

As to adjacent markets, BlackRock and its affiliates currently own sufficient voting securities to be presumed to convey control over approximately 3,375 MW of generation in the PJM markets. However, even if that generation is added to the generating capacity in PJM already owned by GIM and described above, the total owned capacity would still fall well short of the amount of PJM capacity that the Commission has previously found to not raise horizontal market power concerns in New York, particularly when considering transmission constraints that limit the amount of power that can be transferred to the NYISO.<sup>28</sup> Similarly, the amount of capacity that BlackRock and its affiliates own in the ISO-NE markets, when combined with GIM's existing ISO-NE capacity, is insufficient to raise horizontal market power concerns in New York.

Regarding vertical market power, the Second Petition demonstrates that the BlackRock Transaction does not involve any transmission facilities except for the limited interconnection equipment necessary to connect generation facilities to the transmission system. While BlackRock has an aggregate ownership interest of 10.33 percent in Con Edison's stock, it is questionable whether such ownership interest would give BlackRock control over CECONY and O&R. Even if BlackRock had the ability to manipulate markets through this combined ownership interest in Con Edison, South Fork Wind's contract with LIPA, which includes a fixed price for up to 25 years (i.e., 20 years, with the option of extending for an additional five years) and does not permit South Fork Wind, or its owners, to benefit from higher market prices, further removes any incentive for BlackRock to exercise such vertical market power. The petitioners have further demonstrated that they do not

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<sup>28</sup> See n. 20, supra.

control any facilities for the transmission of natural gas or other essential inputs for electric power production in New York State.

Based on of these facts, GIM and BlackRock have adequately demonstrated that the BlackRock Transaction does not present an opportunity to exercise either horizontal or vertical market power, or a potential to harm the interests of captive New York ratepayers. Accordingly, GIM and BlackRock have satisfied the requirements of the Wallkill Presumption, and the BlackRock Transaction requires no further review under PSL §70.<sup>29</sup> As above, after the BlackRock Transaction is consummated, lightened regulation of South Fork Wind will continue, as described in the CPCN Order.

Notwithstanding the foregoing, the Commission notes that the 10.33 percent ownership interest of BlackRock and its affiliates in Con Edison, the parent of CECONY and O&R, is greater than the 10 percent threshold established in the Vanguard Order. While the Commission previously issued the Vanguard Order granting Vanguard authority to acquire up to 20 percent, in the aggregate, of the outstanding voting securities of any single Commission-jurisdictional public utility, the Commission has not granted such authority to BlackRock to-date. To the extent that there are additional market power concerns about BlackRock's ownership interests in electric plant in New York beyond the BlackRock Transaction, such concerns shall be addressed in a separate order regarding the BlackRock Blanket Authorization Petition, and the Commission reserves the right to

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<sup>29</sup> See Wallkill Order; see also Case 18-E-0333, Cassadaga Wind LLC, Declaratory Ruling on Transfer Transactions (issued July 17, 2018) and Case 17-E-0620, AP Cricket Valley Holdings I Inc., et al., Declaratory Ruling on Transfer Transaction (issued December 14, 2017).

impose conditions as necessary at that time to mitigate any new or continuing market power concerns that may be identified as part of that proceeding.

Finally, this declaratory ruling assumes that both the GIP Transaction and the BlackRock Transaction are consummated, and that the upstream ownership interests in South Fork Wind will ultimately reside with BlackRock. Nonetheless, in the event that the BlackRock Transaction is not consummated, the Commission finds that the GIP Transaction requires no further review under PSL §70 because it independently satisfies the Wallkill Presumption, and no market power concerns or risks to captive ratepayers have been identified with respect to GIM's upstream ownership of South Fork Wind.<sup>30</sup>

The Commission finds and declares:

1. No further review will be conducted of the proposed transactions described in the petition filed in Case 24-E-0162 on March 13, 2024, and discussed in the body of this Declaratory Ruling.

2. No further review will be conducted of the proposed transactions described in the petition filed in Case 24-E-0168 on March 19, 2024, and discussed in the body of this Declaratory Ruling.

3. These proceedings are closed.

By the Commission,

(SIGNED)

MICHELLE L. PHILLIPS  
Secretary

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<sup>30</sup> South Fork Wind, BlackRock, and/or GIP Whale/GIM should notify the Commission as soon as practicable in the event the BlackRock Transaction is not consummated.